



NITI Aayog

Strategy for

New India@75

STRATEGY FOR NEW INDIA @ 75

MODULE - 4

4

INDUSTRY

OBJECTIVES



- Double the current growth rate of the manufacturing sector by 2022.
- Promote in a planned manner the adoption of the latest technology advancements, referred to as Industry 4.0, that will have a defining role in shaping the manufacturing sector in 2022.

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INDUSTRY

PRESENT SCENARIO

SEVERAL INITIATIVES ALREADY EXIST!

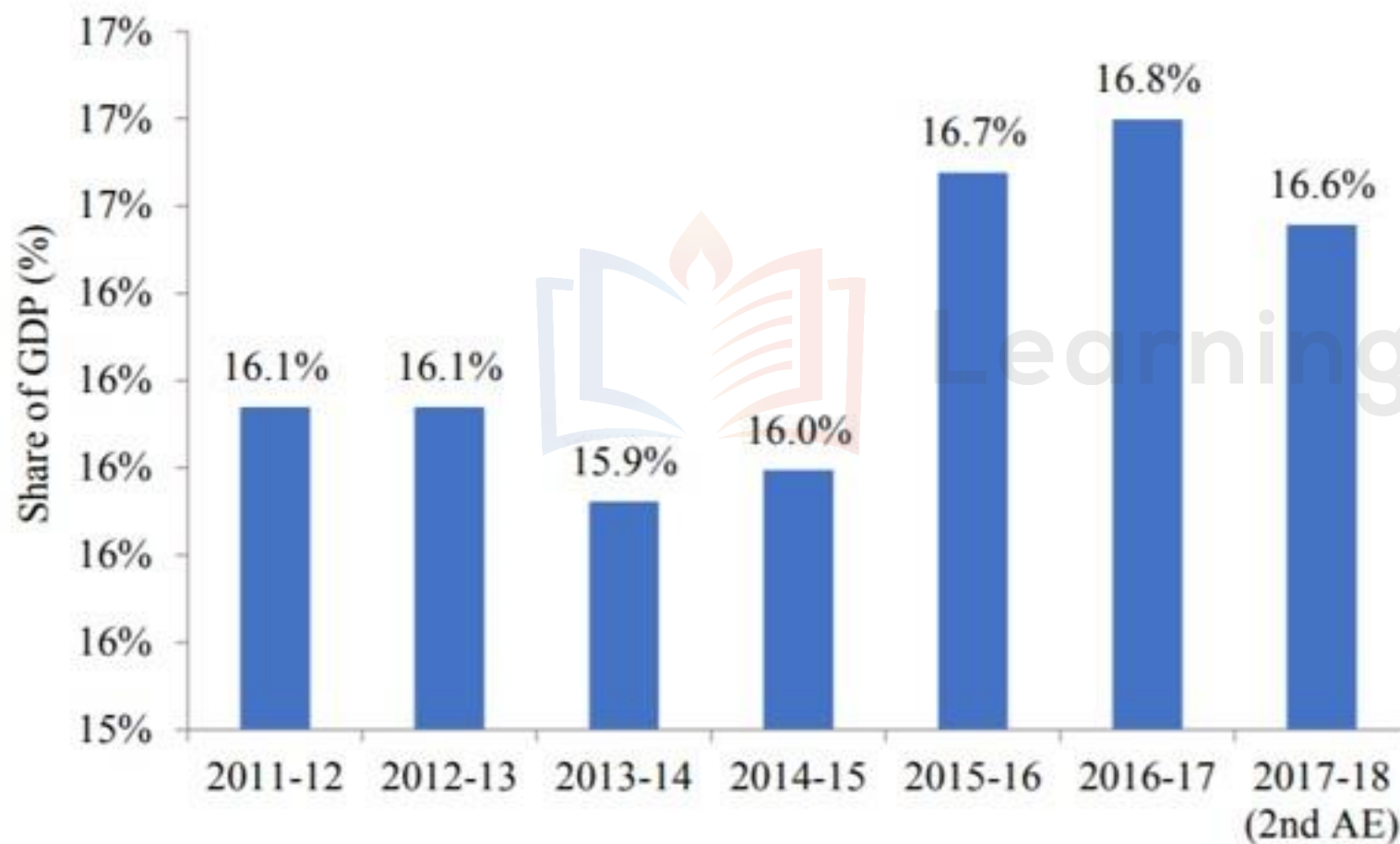


- India is the fifth largest manufacturer in the World.
- The sector registered a Compound Annual Growth Rate of around 7.7% between 2012-13 and 2017-18.
- Make in India action plan aims to increase the manufacturing sector's contribution to 25% of GDP by 2020.
- Start-up India initiative is there to promote entrepreneurship and nurture innovation.
- MUDRA and Stand-up India are to facilitate access to credit.
- Ease of Doing Business improved substantially, now India ranks at 77.

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INDUSTRY

Manufacturing as a share of GDP, 2011-12 to 2017-18



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INDUSTRY

PRESENT SCENARIO

LIBERALIZED FDI REGIME



- FDI regime is substantially liberalized, India's rank in terms of annual FDI flows improved from 14 in 2010 to 9 in 2017.
- But, India receives only 25% of FDI that China gets and only 10% of what the USA receives.
- FDI inflows into the manufacturing sector reached about 35% of total FDI.
- However, manufacturing as a percentage of the Gross Domestic Product has remained at about 16%.

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INDUSTRY

CONSTRAINTS

6 Getting construction permits, enforcing contracts, starting a business continue to constrain doing a business.

5 There has been no export driven industrial growth and domestic demand alone may not be adequate for high value manufacturing.

4 Data security, reliability of data and stability in communication / transmission also pose challenges.



1 Regulatory risks and policy uncertainties.

2 There is a cyclical slow-down in fresh investment, since 2011-12.

3 Adoption of new technologies, like artificial intelligence, data-analytics, machine-to-machine communication, robotics collectively known as "Industry 4.0" is the bigger challenge for SMEs.



REGISTERING PROPERTY

- Needs digitizing land records.
- Online solutions for registration.
- Easy mutation of property.
- Integration of usable and searchable data from various departments.

ENFORCING CONTRACTS

- Alternate Dispute Resolution (ADR) mechanisms.
- Broad implementation of IBC.
- Top class arbitration mechanisms.
- Greater efficacy and efficiency in resolving commercial disputes.

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INDUSTRY

WAY FORWARD

GOVERNMENT TO PLAY CRUCIAL ROLE!

**ALSTOM**

- Government can play a crucial role in creating domestic manufacturing capabilities.
- One classic example is Madhepura Electric Locomotive Project, which is the Joint Venture between Indian Railways and French Multi-national, Alstom.
- Centre can develop a portal to monitor projects beyond a given threshold, so that, any road blocks are identified and addressed on a real time basis.
- NITI Aayog's Development Monitoring and Evaluation Office can help set up the portal.

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INDUSTRY

WAY FORWARD

CLUSTERS AND INDUSTRIAL CORRIDORS



- Develop self-sufficient clusters of manufacturing competence with cluster administrative authorities empowered to provide single window clearances to entrepreneurs and investors.
- Industrial Corridors should address lack of infrastructure and logistics.
- NITI Aayog could work with States to prepare manufacturing clusters and develop export strategies based on their sector competitiveness and resource strengths.

Delhi-Mumbai Industrial Corridor



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INDUSTRY

WAY FORWARD

PROMOTE LOCAL BRANDS AND
DISTRIBUTION CHANNELS

- It should also develop a local brand and distribution channel through an e-commerce platform.
- Make all the approvals electronic in a transparent, time bound manner.
- A greater connect between government-industry-academia is required to identify the changing requirements in manufacturing sector.
- Harmonize Indian quality standards with global standards in upcoming sectors. Lack of harmonization has affected Indian exports and prevented leveraging of trade agreements adequately.

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INDUSTRY

WAY FORWARD

QUALITY SHOULD BE UTMOST CONCERN!



Quality Council of India

Creating an Ecosystem for Quality



- Task should be given to the Bureau of Indian Standards and Quality Council of India for improving the standards and productivity required to achieve global standards.
- E-commerce can be the driver of over all economic growth and the need of the hour is,
 - Increased internet access
 - Digitizing payments
 - Further improving transportation infrastructure
 - Logistics and distributed warehousing support.

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INDUSTRY

WAY FORWARD

IMPROVING COMPETITIVENESS OF MSMEs



- Setting up of mega parks and manufacturing clusters in labour intensive sectors with common facilities to reduce costs and improve quality.
- State Governments should set up plug and play parks.
- Department of Public Enterprises should ensure registration of all public sector units on the Trade Receivables Discounting System Portal.
- Initiate Small Business Research Program in some select Ministries for encouraging R&D in MSMEs.

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INDUSTRY

WAY FORWARD

INDUSTRY 4.0



- Industry 4.0 is characterized by increasing digitization and interconnection of products, value chains and business models.
- It will impact sectors like automobile, pharmaceuticals, chemicals and financial services.
- IISc, select IITs, NITs should create specialized training programmes on Smart Manufacturing to address the shortage of high-tech human resources.
- Incentives could be focused on MSMEs that manufacture products such as sensors, actuators, drives, communication systems, computer displays etc.



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INDUSTRY

WAY FORWARD

EASE OF DOING BUSINESS



भारत सरकार
GOVERNMENT OF INDIA

श्रम एवं रोजगार विभाग
MINISTRY OF LABOUR & EMPLOYMENT



श्रम एवं रोजगार मंत्रालय
MINISTRY OF
LABOUR & EMPLOYMENT

Shram Suvidha

(One-Stop-Shop for Labour Law Compliance)

- Introduce single window system in all States that provides a single point of contact between investor and Government and facilitates all required licenses and approvals.
- Adopt the system of using Geographic Information System based maps at all levels to create pre-approved land banks for manufacturing facilities.
- Ensure seamless integration of the Shram Suvidha Portal and State Agencies Portals.
- Strengthen third party certification systems, develop suitable accreditation agencies.

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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao
K. Srikanth
D. Sunil Kumar
L. V. Krishna
Y. Deepthi

Amrita Naidu
M. Binukrishna
G. Ravi Babu
D. Joji
K. Victor Babu

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